



INVENTORY CONTROL

POLICY 4-10

As Amended

PURPOSE: To establish policies on Inventory Control.

INTRODUCTION:

An internal audit is an appraisal activity to review the accounting and other financial Operations as basis for protection and management.

Its aims are: to conduct a general verification of the records to determine the true financial condition of the cooperative; to determine the efficiency and integrity and to protect the organization from losses of cooperative property and equipment.

To attain these objectives, the Board hereby adopts the following policies:

1. Purchasing functions shall be segregated from receiving and warehousing function.
2. Major purchases, the total amount of which should be P5,000.00 or more, should be covered by a Board Resolution.
3. There shall be a canvass of prices before average and major prices are affected.
4. Duly-approved Purchase Orders (PO) shall be used for all purchases.
5. Suppliers Invoices shall be checked and verified with Purchase Orders and Receiving Reports before payment and recording.
6. Checks shall be made payable to suppliers and not to any officers or employees.
7. Checks shall be released only when an official receipt and the original copy of the invoices are furnished and upon complete delivery of materials.
8. All deliveries intended to the cooperative should be audited by the cooperative's Internal Auditor.

ON WAREHOUSING:

1. Warehousing function shall be segregated from purchasing function.
2. There shall be a designated storekeeper/warehouseman whom to pinpoint the responsibility.
3. Stock cards and bin cards shall be maintained in the accounting and warehousing sections, respectively.
4. All issuances shall be properly accounted for.



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5. Returns and salvages shall likewise be properly accounted for.
6. Periodic physical inventory count shall be conducted to reconcile records in the stock cards, bin cards, and general ledgers.

IMPLEMENTATION:

The General Manager and the Treasurer shall be responsible for the implementation of this policy.

(SGD) VICTOR B. LAOYAN
President

(SGD) ANTONIO D. SUDAYPAN
Secretary

APROVED per Resolution No. 70-84 dated July 21, 1984.